

Daily Market Regime Report — June 5, 2026

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²ABSTRACT

Strong May non-farm payrolls (+172k) and escalating U.S.-Iran hostilities drove a sharp market regime shift on June 5, 2026. Equity indices sold off aggressively—Nasdaq-100 fell 4.5%—as rate-cut expectations collapsed, while oil held above \$91 and Treasury yields rose. Defensive positioning spiked in options markets. Semiconductor multiples compressed severely following Broadcom's guidance-driven 22% plunge, signaling fragility across premium tech. Absent a geopolitical de-escalation or dovish Fed pivot, sustained downside pressure is expected through Q3.

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² Generated using AI

1. MACROECONOMIC DEVELOPMENTS

Macroeconomic Fundamentals

Non-Farm Employment Change

³Table 1: Overall Labor Market Summary (Household Survey Data)

Sector & Industry	May 2026	April 2026	MoM	Trend Notes
TOTAL NONFARM PAYROLLS	164,064	163,892	+172	Steady expansion
Total Private Payrolls	139,640	139,520	+120	Private sector hiring cooled over the month.
GOODS-PRODUCING SECTORS	22,171	22,143	+28	Growth accelerated across commodity verticals

⁴Table 2: Payroll Employment Changes by Sector & Industry Detail

Indicator	April 2026	May 2026	MoM	Trend Notes
Civilian Labor Force	169,995	170,078	+83	Held mostly steady over the month.
Employed	162,622	162,771	+149	Increased slightly after minor pullbacks earlier in the year.
Unemployed	7,373	7,307	-66	Changed very little over the month.
Unemployment Rate	4.3%	4.3%	0.0%	Unchanged. Range bound between 4.3% to 4.5% since July 2025.
Labor Force Participation Rate	61.8%	61.8%	0.0%	Flat. Participation rate showed little change over the entire past year.
Employment-Population Ratio	59.1%	59.2%	+0.1%	Unchanged MoM and YoY

³ This table captures the high-level, aggregate economic environment for May 2026 compared to April 2026. Numbers in thousands, seasonally adjusted

⁴ The BLS reported that previous months' payroll data saw substantial upward adjustments. Numbers in thousands, seasonally adjusted

Composition

Non-Farm Employment data revealed 172,000 jobs were added into the economy throughout May.

Geopolitics

US/Iran War

Developments

- The US-Israel war on Iran is radically rewriting the security architecture of the Middle East. Regional oil chokepoints remain deeply restricted, causing secondary food security and supply chain red flags across Asia.
- URGENT: Reports of intense naval activity near the Strait of Hormuz. Multiple sources indicating IRGC fast-attack craft are maneuvering aggressively near Western commercial lanes.
- MARKET CLOSING IMPACT: Today's absolute gridlock in diplomatic channels between the Trump administration, Netanyahu, and the IRGC high command means the 2026 Iran War goes into the weekend at maximum heat. Crude holding firm over \$91.
- BREAKING: Iranian state media claims the Islamic Republic Navy has fired warning missiles and deployed kamikaze drones against U.S. destroyers in the Gulf of Oman, alleging "harassment of maritime traffic."
- RETALIATION THREAT: Mohsen Rezaei, military adviser to Supreme Leader Mojtaba Khamenei, posts a direct warning: "We will not allow the United States to impose excessive demands. Any further U.S. strikes will face an immediate barrage of ballistic missiles."
- HUGE ESCALATION: 85 members of the Iranian Parliament have sent an explicit, signed letter to Supreme Leader Mojtaba Khamenei calling for the immediate development of Intercontinental Ballistic Missile (ICBM) capabilities.
- BATTLE DAMAGE UPDATE: U.S. Air Force assets have successfully completed precision self-defense airstrikes against active IRGC drone ground control centers and cruise missile bunkers located on Qeshm Island.
- JUST IN: Israeli Prime Minister Benjamin Netanyahu issues a stark warning: "Iran is playing with fire. If the current ceasefire negotiations in Islamabad fail, Israel and the U.S. are prepared for a full-scale return to military action."
- CRITICAL: Hezbollah Secretary General Naim Qassem officially REJECTS the joint U.S.-Israel-Lebanon conditional truce framework. States that agreeing to withdraw north of the Litani River "constitutes unconditional surrender."

- RECON DETAILS: Over 20 separate rocket and drone attacks launched by Iran-backed Hezbollah from southern Lebanon into northern Israel within the last two hours. Interceptions active.
- DEVELOPING: Kuwaiti authorities confirm structural damage at Kuwait International Airport following a spillover missile strike. Tensions spiking among Gulf Cooperation Council (GCC) states over airspace violations.
- FOREIGN MINISTER ARAGHCHI: Iran officially rejects U.S. President Donald Trump's overtures for a direct meeting. "There will be no diplomatic encounters while Washington enforces its illegal maritime blockade."
- OFFICIAL STATEMENT: "U.S. forces continue to operate freely in regional waters while fully enforcing the ongoing blockade against Iran." Any threat to international shipping will be neutralized immediately.
- CHIEF OF COMMAND: U.S. Naval forces have successfully disabled the shadow-fleet tanker M/T Lexie after it violated the designated exclusion zone. Securing the perimeter.
- DEPLOYMENT ALERT: Heavily armed U.S. Fifth Fleet strike groups are tracking an unflagged shadow-fleet tanker transiting toward Iran's Kharg Island. Rumors of interception imminent.
- MEDIATION UPDATE: Lebanese Parliament Speaker Nabih Berri states Hezbollah is prepared to withdraw from the southern border area only in parallel with a complete and unconditional Israeli withdrawal from occupied territory.
- PRESIDENT TRUMP: "Iran is down to 21% or 22% of their total missile inventory compared to before we first attacked. They are in a very weak position. A peace deal could happen over the weekend, but they need to sign it now. No boots on the ground needed."
- INTERNAL RIFT: Whispers out of Tehran suggest Iranian President Masoud Pezeshkian has been effectively sidelined by hardline Parliament Speaker Mohammad Bagher Ghalibaf and IRGC commanders over economic emergency plans with China.
- URGENT: India and several international bodies issue strong condemnations following a fatal attack on the UN Interim Force in Lebanon (UNIFIL) which resulted in the death of a Serbian peacekeeper.

Composition

The US/Iran war caused oil chokepoints to remain deeply restricted, causing secondary food security and supply chain red flags across Asia. Claims of IRGC Naval activity near Strait of Hormuz. Crude above \$91, war going into the weekend with tensions. Iranian media claims IRGC fired warning missiles and drones against U.S Destroyers in Oman. 85 members of the Iranian Parliament have sent

letters to Iran's supreme leader urging for ICBM production. Iran rejects Trump's recommendation for a direct meeting.

2. FIRM DEVELOPMENTS

Sector & Company

Headlines

Broadcom | drops heavily for a second straight session, falling to \$385.73 as macro valuation expansion breaks under yield pressure.

Tech | Cloud capex targets remain unchanged but premium tech stocks are facing their worst multi-sector multiple compression since late last year.

Tech & Nvidia | Reports confirm Senator Elizabeth Warren has invited Nvidia's Jensen Huang to testify before the Senate Banking Committee on June 11 regarding China export control compliance.

Nvidia | Computex 2026 wraps up in Taipei. Nvidia highlights its new 'RTX Spark' PC chip built with

Microsoft | Microsoft confirms the 'Vera Rubin' architecture is entering active production.

Tech & NVDA | Goldman Sachs and Morgan Stanley reiterate Conviction Buy ratings on NVDA post-keynote, raising price targets across the board.

Composition

Broadcom continued dropping today. Jensen to testify to the senate regarding Chinese export control.

3. Positioning

QQQ & SPY Off-Exchange

Table 3: QQQ & SPY Off-Exchange activity

Asset	6/5 %	6/4 %	Δ	6/5 Vol	6/4 Vol
QQQ	42.74	38.93	+3.81	42,748,324	15,820,000
SPY	44.47	42.05	+2.42	41,741,272	20,950,000

Composition

Heavy activity and volume as Non-farm Employment data releases.

SPY Options

Table 4: SPY Put/Call Ratio + Delta

Expiration	DTE	P/C Vol (6/5)	P/C Vol (6/4)	Delta	Event
June 8	2	1.0045	0.9062	0.0983	Next session after NFE
June 12	6	1.1890	0.8559	+0.3331	SpaceX IPO
June 15	9	1.3228	0.9728	+0.3500	Next session after SpaceX IPO
June 16	10	2.2360	0.7301	+1.5059	VIX Opex Final Day
June 17	11	1.4574	1.1080	+0.3494	Day after VIX Opex
June 18	12	2.5114	1.7865	+0.7249	June OPEX
June 26	20	2.1567	1.4234	+0.7333	Next session after June OPEX
June 30	24	4.2294	2.7083	+1.5211	End of Q2
July 2	26	0.9905	1.2969	-0.3064	Next session after End of Q2
July 17	41	6.1137	4.9171	+1.1966	July OPEX
July 24	48	1.7583	2.2258	-0.4675	Next session after July OPEX

Composition

Put volume remains heavier as geopolitical tension escalates and investors proceed with caution within the semiconductor sector post broadcom earnings.

4. Assets

Table 5: Personal Tracked Assets & Change

Asset	6/5	6/4	Change %
US100	28,958.0	30,329.9	-4.523%
US500	7,383.74	7,572.7	-2.495%
WTI	90.25	92.92	-2.873%
DXY	100.068	99.447	+0.624%
US02y	4.088%	4.047%	+1.013%
US10y	4.522%	4.477%	+1.005%
US30y	5.016%	4.976%	+0.804%

Composition

US100 & US500 took massive hits dropping 2-5% as labor data came out, threatening summer rate cuts. Yields, WTI, & DXY remained easing to flat as the weekend approaches.

5. Personal Sentiment

Markets saw breakage away from range bound price action, but as expected Indexes weakened. Due to Non-farm Employment data beating expectations by nearly 2x, the market became heavily volatile as the likelihood of summer rate cuts came near to an end. I believe without a proper MOU signoff, we may see continual downside pressure in index equities near-term and throughout Q3.

With weak labor data throughout 2025 and parts of 2026 investors were expecting rate cuts. Today changed the story as labor data turned positive, which could significantly alter the Fed's decision to cut rates. If the Fed was to hike rates, investors would begin putting downward momentum on price as the Fed potentially brings QT to bring down inflation.

While rate hikes are a major player in downward price momentum; many factors other than rate hike risks could contribute to potential downside pressure. Such as escalated US/Iran tensions and, most importantly, effects within the AI “bubble.”

Before, an AI bubble wouldn't have crossed my radar. But that's because we hadn't properly seen an investor's reaction to bad earnings from a leading company in the Semiconductor sector. This case being broadcom. While Broadcom beat its earnings expectations, it's dropped 22% since June 3rd due to “improper forward guidance.” In Q1, Hock Tan projected the company would make “an excess of \$100b in 2027” and then stated it again during Q2 earnings. Investors expected him to say a higher number, and when he didn't they “panicked.” Leading to nearly a quarter drop within 3 days.

While this issue may seem contained within one asset to many, it's important to notice that companies such as Tesla, Meta, Amazon, Adobe, & Nvidia all received a similar reaction. Regardless of their earnings beats and positive projections, they weren't enough for investors to continue buying.

Meaning we'll be paying close attention to further Labor data, MOU news, earnings, and fed statements as FOMC comes up.